Q20

(i)

Q will effectively be diversifying by adding holidays to the provision of flights. As such, there will be some industrial logic to this expansion. [1]

There is the potential for synergy between the provision of flights and accommodation in foreign locations. [1]

Customers may find it attractive to be able to book a package holiday with a single company, simplifying bookings and potentially obtaining a lower price for a package compared to making separate arrangements for flights and hotels. [1]

Q will have to consider whether its existing flight network would be suitable for supporting package holidays, otherwise the scope for synergy may be lost. [1]

Package holidays often involve short to medium distance travel, so there may be limited demand for package holidays designed round a network of intercontinental flights. [1]

Q's destinations might be better suited to business travel than vacation travel. In that case, L might not be able to offer a sufficiently wide range of different hotels to meet the needs of business travellers. [1]

If there is no synergy then there will be no particular advantage in Q's acquisition of L and so shareholder wealth may be impaired. [1]

[Total 7]

(ii)

There could be a conflict of interest here because Q's directors are more likely to benefit from the acquisition of L than Q's shareholders. [1]

The acquisition of a profitable company will increase the Q group's profits, which will increase directors' bonuses. [1]

Q's directors are almost guaranteed to benefit from higher remuneration if this acquisition takes place. [1]

There is no guarantee that this will be a positive NPV investment for Q and the acquisition may even have a negative NPV if too much is paid for L. [1]

Q's directors will also continue to receive their salaries and may even be able to justify an increase in those on the grounds that the Q Group has grown because of this acquisition. [1]

Any problems associated with the acquisition may take some time to emerge, which means that Q's directors are likely to benefit from the acquisition before their shareholders become aware of any problems. [1]

There is very little downside risk to Q's directors if they proceed with this acquisition, while there is a significant downside risk to the shareholders. [1]

[Total 7]

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(iii)

L's directors may be unwilling to support this acquisition because they will no longer be directors of an autonomous quoted company. [1]

At best, they will be required to report to Q's Board on any strategic decisions that have to be taken. [1]

At worst, Q's directors may decide to replace L's board in order to ensure that they have greater control over their new acquisition. [1]

L's shareholders are likely to benefit from the proposed acquisition. Their shares have a market value of $10.00 each. The combined value of the company will be $1.6 billion and there will be 150 million shares, making each worth $10.66. [1]

In the short term, L's shareholders could accept this offer and sell their shares in Q to yield a guaranteed profit. [1]

It is rarely advisable to reject an offer to acquire a company because the bidders are usually required to pay a premium over the existing share price. [1]

[Total 6]

[Total 20]

Commentary:
This question was answered poorly by many candidates. The topic (2. How corporates are financed: 2024 Syllabus) is usually assessed at a higher order thinking level and candidates often fail to provide the required depth of analysis and critical thinking in their answers. *Part (i) was on the whole answered well with many candidates discussing synergies.* *Part (ii) was attempted reasonably well by some who answered with some very good points. However most candidates had difficulty explaining any agency implications.* *Part (iii) was not answered well with few candidates able to explain reasons why shareholders might be asked to reject the proposal by the directors.*

[Paper Total 100]

END OF EXAMINERS' REPORT

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